

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELOTON INTERACTIVE, INC.

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT’S MOTION TO DISMISS THE COMPLAINT

I. INTRODUCTION

On May 3, 2024, Complainant Peloton Interactive, Inc. (hereinafter “Peloton”), filed a verified complaint (Complaint) against Respondent Flexport International LLC (hereinafter “Flexport”), asserting violations of the U.S. Shipping Act (hereinafter the “Shipping Act”), 46 U.S.C. 40101, et seq. as amended by the Ocean Shipping Reform Act of 2022 (hereinafter “OSRA”).

Although Peloton asserts claims arising under the Shipping Act, the plain language of the Complaint instead expresses, at best, a claim for false advertising, which is clearly not in the purview of the FMC’s jurisdiction. As a threshold matter, the Complaint does not identify a single specific transaction, bill of lading, invoice, or even time frame (other than the period of 2020-2023) in support of its claims. Peloton’s only *factual* allegations are provided at paragraphs 10 – 16, which are purely out-of-context marketing materials from Flexport’s website.¹ Here, Peloton

¹ It is well established law that a logistics service provider’s marketing or sales material do not change the underlying character of the service offering. *See Prima US v. Panalpina, Inc.*, 223 F.3d 126 (2d Cir. 2020), wherein the court reversed a trial finding that the freight forwarder became a carrier based upon the finding that the marketing material were “mere puffery” and did not create an independent liability. *See also, Alvarez v. Royal Caribbean Cruises, Ltd.*, 905 F. Supp. 2d 1334, 1342 (S.D. Fla. 2012), wherein the Court recognized that reliance upon representations in the Defendant’s website was misplaced as same constituted non-actionable puffery and sales talk. *Landivar v. Celebrity Cruises Inc.*, 21-20815-CIV, 2021 WL 7186402, at *7 (S.D. Fla. July 12, 2021) (citing *Hill v. Celebrity Cruises, Inc.*, 2011 WL 5360629, at *7, (S.D.

predicates its vague references to what it concedes are advertising on Flexport’s website as to the following: “your end-to end supply chain....is the platform that coordinates global logistics from factory to customer door.” (Complaint at ¶ 11). Peloton specifically asserts as its factual evidence in support of its claim that “Peloton entered into an agreement with Flexport to coordinate its global logistics consistent with the end-to-end supply chain services Flexport advertised.” (Complaint at ¶ 14). These admissions by Peloton set forth in the four corners of its complaint are based upon nothing more than marketing verbiage.

Flexport seeks dismissal of the Complaint on the following grounds:

1. Peloton fails to plead sufficient facts – or any facts at all – to support its claims.
2. Peloton fails to allege any practice or procedure of Flexport which would constitute a violation of the Shipping Act.
3. Peloton fails to identify any shipment, bill of lading, invoice, or charge on which its claims are based.
4. Peloton’s claims are time-barred and/or are not subject to OSRA 2022.
5. The Commission does not have jurisdiction to rule upon a garden variety commercial breach of contract or false advertising claim.

II. FACTUAL BACKGROUND.

Peloton presents a vague collection of purely conclusory civil litigation style allegations against Flexport framed as purported violations of the Shipping Act, claiming that Flexport failed to establish just and reasonable practices related to the receiving, handling, storage and delivering of property. (Complaint at ¶ 9 and 15). Peloton goes on to conclude – again without any factual

Fla. Sept. 14, 2011)) (“Puffing signifies meaningless superlatives that no reasonable person would take seriously, and so it is not actionable...”).

support – that Flexport “wrongfully and unreasonably require[ed] Peloton to pay millions of dollars in unreasonable demurrage and detention charges.” (Complaint at ¶ 9 and 16).

Yet, Peloton intentionally fails to provide any facts in support of its claim, which serves as the basis for the instant motion. Peloton cannot articulate its dispute with Flexport because it is well aware that Flexport went above and beyond what it was required to do to assist Peloton with respect to the transportation, storage, and delivery of Peloton’s shipments and to minimize any demurrage and detention (“D&D”) charges.

To be clear, any alleged service failures and D&D charges were the result of Peloton’s failure to manage the sudden surge and subsequent fall of consumer demand, rather than any actions or inactions on the part of Flexport.

To be crystal clear, Flexport at all times bent over backwards to find space to store the products and motor carriers to move them. Further, Flexport at all times kept Peloton well aware as to delivery schedules, timetables, and the need to move the cargo to avoid or minimize D&D charges. Indeed, Flexport and Peloton had daily, weekly, monthly, and quarterly meetings. Yet, Peloton continued unheeded to pursue its dreams of avarice, irrationally hoping – praying – that the pandemic would continue so Peloton could increase its profits and that being the only way to have their products start moving again. Flexport warned Peloton that its business practices will have disastrous results, particularly when the pandemic ended.

In fact, Flexport repeatedly advised Peloton to slow its manufacturing as it was outpacing the resources available in the supply chain. Simply stated, during this time, there was not enough space on vessels, at the port, nor in warehouses. And there were not enough truckers to move the cargo once it arrived.²

² These issues are of course not unknown to the Commission and were also not unknown to Peloton. Truly, the practices of the ocean carriers and marine terminal operators during this time that created the backlogs Peloton now complains

In short, despite the lack of available resources in the supply chain during this period, and despite repeated warnings from Flexport as to same, Peloton aggressively and unwisely increased the manufacture and importation of its products – even though Peloton knew that there was (1) no place to put the containers upon arrival at the port; (2) not enough truckers to move them; (3) and nowhere to move them to. Instead, Peloton just allowed its containers to sit in the yards – accumulating D&D – for months despite having been warned and advised by Flexport that these charges will accrue to a substantial amount.³

Peloton’s challenges during and after the pandemic are well publicized. It is well known that, during the pandemic, Peloton initially profited immensely and scrambled to meet the sudden surge of consumer demand. Even Peloton’s former CEO John Foley readily admitted: **“To meet market demand, we scaled our operations too rapidly, and we over invested in certain areas of our business....We own this. I own this, and we are holding ourselves accountable.”**⁴ Since the pandemic ended, Peloton has faced an uphill battle to win over investors and consumers despite multiple leadership changes. It is now seeking every way it could to claw back money without coming forward with basic supporting facts – for invoices which it never disputed.

But then Peloton made the critical error of planning for that demand to last, even as the virus waned, and lockdowns lifted. While demand stayed strong, worldwide supply chain

of are the very reason the Interpretative Rule was issued and OSRA 2022 ultimately enacted. At minimum, Flexport respectfully asks the Commission to draw the line on the type of claims that can be presented for Shipping Act and OSRA violations. It is clearly not in the FMC’s interest to be bogged down with such private commercial disputes, when its function is to protect the shipping industry as a whole. In this regard, shippers simply need to set forth specific factual allegations in support of their claims. As detailed below, even if this were a civil case, the complaint would fail to state causes of action.

³ Further, it must be noted that during the daily, weekly, and monthly meetings, the parties engaged in discussions as to the invoices, charges, and any issues regarding same. In point of fact, each and every invoice was carefully reviewed by Peloton – by no fewer than seven (7) personnel, including executives – prior to making payment.

⁴ <https://www.nbcnews.com/business/peloton-analysis-mistakes-layoffs-recalls-challenge-company-leadership-rcna17777>

constraints made it difficult to keep up. Customers began to complain about months long delivery delays, as well as issues with the bikes once they finally arrived.⁵

What Peloton deliberately fails to mention in its Complaint is that the backlog had nothing to do with Flexport – rather, it had everything to do with Peloton’s admitted failure to manage the sudden surge of consumer demand and the realities of the supply chain. Flexport repeatedly warned Peloton of these issues. Yet Peloton ignored Flexport’s warnings (as well as the warnings from its own officers and advisers), and just continued to manufacture and import goods. There simply was no way the supply chain could keep up with the number of goods being imported by Peloton.

Peloton admissions abound from the public domain as it acknowledged this in its 2022 annual report to the Securities and Exchange Commission:

We have recently experienced a decrease in consumer demand and an increase in our inventory levels. Inventory levels in excess of consumer demand has resulted in, and may continue to result in inventory write-downs or write-offs and the sale of excess inventory at discounted prices, which would cause our gross margins to suffer and could impair the strength and premium nature of our brand. Further, lower than forecasted demand has resulted, and could continue to result in excess manufacturing capacity or reduced manufacturing efficiencies, which could result in lower margins.⁶

By way of example, at one point, Peloton had over 100 ocean containers of its Internal Bike Assembly Systems in yard storage which were not needed for consumer sales. Peloton simply allowed the containers to sit in the yard without any attempt to locate storage for same – likely because there was no facility available to hold 100+ containers. Yet, Peloton not only just let the containers sit in the yard, but proceeded to import an additional 350 containers of products – for which it had no place to put them or any way to move them. Flexport repeatedly advised Peloton of this fact and of the financial consequences, but Peloton just plowed ahead.

⁵ *Id.*

⁶ Peloton Interactive 2022 10-K filing with the Securities and Exchange Commission, at p. 14-15.

Peloton's decision to keep importing despite the lack of space put itself in a tough position – as it has readily admitted in publications and SEC filings. As Peloton admitted in its 2022 annual report:

We have grown and the Company has evolved rapidly in recent years and have limited operating experience at our current scale of operations. If we are unable to manage our longer-term growth and intervening changes effectively, our brand, company culture, and financial performance may suffer.⁷

Now Peloton seeks to blame Flexport, its former business partner, and bemoans that it relied on Flexport's supply chain marketing materials as support for specific OSRA violations.

Against this backdrop, it is difficult to understand what possible dispute Peloton has with Flexport. While Peloton may attempt to submit an alternate reality of these facts, it is apparent that the dispute as framed simply is not one for the FMC.

Peloton's Complaint consists merely of conclusory allegations tracking the bare elements of Shipping Act claims, without any legal nor factual support whatsoever. Peloton does not identify a single shipment, bill of lading, invoice, or charge that is in dispute; nor does Peloton ever indicate the basis of any dissatisfaction. Peloton must be required to enunciate the who, what, and where to support its claims. If it does not have this information, it has no right to proceed. Surely Flexport is entitled to know the basis of the accusations against it. Peloton's sworn verification from Martina Majstorovic that the facts are true does not suffice when no facts have been presented.

Peloton is clearly unwilling or unable to state whether it feels Flexport's bills are inaccurate, whether Flexport applied its tariff rates correctly or incorrectly, whether or not Flexport mis-calculated the correct number of days outstanding, or the correct number of containers. There is NOTHING and this failure to articulate any facts or allegations by Peloton presents as deliberate.

⁷ Id. at p. 15.

To be clear, prior to the commencement of this action, Flexport and Peloton engaged in protracted discussions regarding a resolution of the claims. In the course of these discussions, Flexport repeatedly asked Peloton to clarify what its dispute was. Specifically, Flexport asked Peloton to identify what invoices and line items were in dispute, and to advise as to the basis of the dispute. Despite these good-faith attempts, Peloton repeatedly ignored these requests and refused to provide any details at all. In the end, Peloton merely stated “all of them” with respect to the invoices, without providing any details as to the basis of the dispute. Flexport received clarification of “all of them” meaning (that without providing a single detail, invoice, fact, or basis for dispute) Peloton wanted a full refund of all D&D charges going back four years.⁸

And that is exactly the path that Peloton has continued with its sworn Complaint. No facts. No invoices. No description as to what the dispute was about – aside from mere conclusory statements which mirror the barebones elements of Shipping Act claims.

It is clear from the case law that the pleading requirements of Rule 7, and as clarified by the United States Supreme Court as well as the FMC, is to place a defendant on notice as to what the plaintiff’s claim is about.

Here, Flexport has been trying to figure that out for months before the vague complaint was filed. Flexport simply has no idea what the dispute is about – neither which invoices, or line items are in dispute, nor what, exactly, Flexport is alleged to have done wrong.

Without this knowledge, it is impossible for Flexport to respond to the Complaint and same should be dismissed.

⁸ Peloton’s reference in its Complaint to the Commission’s ADR program is both misleading and inaccurate. Peloton could have sought assistance from the Commission’s ADR Specialist prior to filing its formal Complaint. Peloton could also have utilized the stream-lined charge complaint procedures the FMC has put in place for handling such disputed. Instead, Peloton elected to file a formal complaint and now attempts – in its pleading – that Flexport was somehow to blame Peloton’s decision not to pursue ADR before filing.

III. LEGAL STANDARD.

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well-established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. *See, e.g., YSN Imports Inc. v. Oberlander*, 2021 WL 2935838 at *2 (FMC, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C.2d 103 (FMC 2018).

Flexport moves to dismiss the Complaint for failure to state a claim. On a motion to dismiss for failure to state a claim, although the Presiding Officer must assume that well-pleaded allegations in the complaint are true, the Presiding Officer should not “accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint” nor should the Presiding Officer “accept legal conclusions cast in the form of factual allegations.” *Ian Mills v. Crowley Logistics, Inc.*, 2024 WL 1855588, at *2 (FMC, Apr. 24, 2024) (partially granting motion to dismiss) (*quoting Cornell v. Princess Cruise Lines, Ltd.*, 2014 WL 5316340, at *6-7 (FMC Aug. 28, 2014)). Additionally, the Presiding Officer must scrutinize the specific language of the complaint, because “[m]ere labels and conclusions or a formulaic recitation of the elements of a cause of action will not suffice, nor will naked assertions devoid of further factual enhancement.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 555-57 (2007) (internal quotation marks and citation omitted).

IV. DISCUSSION.

A. The Complaint does not contain sufficient fact to support the claims.

Peloton’s complaint is replete with vague assertions of actions or inactions of Flexport. Peloton’s allegations are, in essence, that Flexport failed to do this, or do that, which resulted in damages and then merely parrots the interpretive rule that “Flexport failed to maintain and enforce

just and reasonable practices in connection with the cargo carried and handled for Peloton, causing considerable damages.” (Complaint at ¶ 15).

Peloton seems to suggest that since the subject shipments were “store door” moves that somehow Peloton would not be responsible for D&D charges. Notwithstanding the fact that this is not a known industry term, to the extent that Peloton refers to through transportation, there is no basis – legal or factual – to claim that this would somehow make Flexport responsible for D&D charges. Peloton boldly asserts that:

25. Flexport improperly charged to Peloton D&D charges on the carriage of goods arranged by Flexport, despite the carriage of goods being on store door terms and despite Flexport’s responsibility for arranging and managing the inland transportation, including timely removal and return of Peloton Containers.

Peloton fails to grasp that, as the shipper and/or consignee for the cargo, it is Peloton that remains responsible for the D&D charges. Peloton’s vague assertion to the contrary is both unsupported and contrary to centuries of maritime jurisprudence. Peloton seems to suggest that by arranging for inland transportation, Flexport is somehow legally liable for payment and absorption of D&D charges and must provide these services to its customers at a financial loss.

Importantly, the FMC does not have jurisdiction to even decide this issue. Peloton is asking the FMC to make a determination as to which party is responsible for payment of D&D fees under the applicable bills of lading. However, the Commission has recently made clear that this is not within the jurisdiction of the FMC to determine. Quite to the contrary, the Commission has recently held that disputes as to a respondent’s obligations under a bill of lading (and associated tariff) are breach of contract claims and may not be heard by the Commission. *Seafair USA LLC v. Sterling Container Line Ltd.*, FMC Docket No. 22-34, 2024 WL 741926 (I.D. April 15, 2024). There, the complainant asserted that the respondent was obligated by the bill of lading/tariff to pay certain destination charges (including demurrage), but the Presiding Officer found that these were

quintessential breach of contract claims, and thus the issue was “not a question I can answer in this proceeding.” *Id.* at *17.

Further, and notably, Peloton references an “agreement” with Flexport, but fails to attach or even identify the same. Regardless, the terms for such agreement for each shipment were set forth in the Negotiated Rate Arrangements (“NRAs”) and bills of lading issued by Flexport, which incorporated Flexport’s Rules Tariff. The NRAs and bills of lading, as well as the publicly-available Rules Tariff, clearly set forth that Peloton was to be responsible for all D&D charges, at the rates set forth in the Tariff. As such, Peloton’s position is untenable and nonsensical without any factual support being submitted.

Again, Peloton fails to identify a single shipment, invoice, or charge that is in dispute. This failure itself warrants dismissal for being vague. However, this failure is compounded by the fact that, by the allegations of the Complaint itself, Flexport has no idea as to which invoices and charges are time barred or not subject to OSRA 2022. Clearly, the purpose of OSRA 2022 and the FMC is not to allow shippers to use the FMC as a broad strategic approach to not pay legitimate bills. In this regard an allegedly aggrieved shipper must be required to provide specific details as an initial pleading requirement. Otherwise, the FMC will surely confront a floodgate of such proceedings.

The FMC’s rule 46 C.F.R. § 502.62 clearly sets forth what the FMC requires in a private party complaint:

(3) *Content of complaint.* The complaint must be verified and must contain the following:

(i) The name, street address, and email address of each complainant, and the name, address, and email address of each complainant's attorney or representative, the name, address, and, if known, email address of each person against whom complaint is made;

(ii) A recitation of the legal authority and jurisdiction for institution of the proceeding, with specific designation of the statutory provisions alleged to have been violated;

(iii) **A clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that the complainant is entitled to relief;**

(iv) A request for the relief and other affirmative action sought; and

(v) Shipping Act violation must be alleged. If the complaint fails to indicate the sections of the Act alleged to have been violated **or clearly to state facts which support the allegations, the Commission may, on its own initiative, require the complaint to be amended to supply such further particulars as it deems necessary.**

It is already well settled, as the Commission has made it clear, that such failure to plead any facts in support of a Shipping Act claim warrants dismissal. *See Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 2015 WL 9426189 (F.M.C. Dec 19, 2015). Therein, the Commission held that such a claim will be dismissed “if the complainant fails to plead ‘enough facts to state a claim for relief that is plausible on its face.’” *Id.* at *12 (quoting *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (quoting *Twombly*, 550 U.S. at 570)).

A motion to dismiss will be granted unless, “the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662 at 678 (2009)). The complaint’s factual allegations “must be enough to raise a right to relief above the speculative level” and must “nudge claims across the line from conceivable to plausible.” *Cornell*, 33 S.R.R. at 620 (quoting *Elemary v. Holzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)) (internal quotation marks omitted); *Iqbal*, 556 U.S. at 678 (noting that standard “asks for more than a sheer possibility that a defendant has acted unlawfully”).

Mere labels and conclusions or a “formulaic recitation of the elements of a cause of action” will not suffice, nor will “naked assertions devoid of further factual enhancement.” *Iqbal*, 556 U.S.

at 678 (quoting *Twombly*, 550 U.S. at 557); *Cornell*, 33 S.R.R. at 620 (stating that Rule 8 “demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation” and that “threadbare recitals of the elements of a cause of action supported by mere conclusory statements, do not suffice”).

Thus, as in the instant matter, “Where a complaint pleads facts that are merely consistent with a defendant’s liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Cornell*, 33 S.R.R. at 620 (citing *Iqbal*, 446 U.S. at 678). The factual allegations needed to reach plausibility will vary depending on the complexity of the case, “both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind, the dots should be connected.” *Swanson v. Citibank, N.A.*, 614 F.3d 400, 405 (7th Cir. 2010).

As such the Commission held that a complainant must plead facts showing how a Respondent’s conduct was unreasonable, that would allow one to draw the reasonable inference that the Respondent violated the Shipping Act – “which necessarily requires factual allegations involving some combination of the who, what, when, where, and how of Shipping Act violations”. *Id.* at *14.

Here, Peloton has utterly failed to allege any facts at all, let alone sufficient facts to put Flexport on notice as to what the dispute is about – other than Peloton feeling it was billed too much money for its own failures in managing its own business, including retrieving and returning the containers.

Further, Peloton clearly alleges that the services were provided between 2020 and 2023. (Complaint at ¶ 22 and 23). As such, any claims which were not brought within three (3) years of the date of issuance of the invoice are time-barred. 46 C.F.R. § 502.62(4).

Further, any invoices and charges which were issued prior to June 16, 2022 would not be subject to OSRA. The Commission has made it crystal clear that OSRA 2022 will not be applied retroactively.⁹

As such, both Flexport and the Commission have no idea, based upon the allegations of the Complaint, as to what claims can be brought at all.¹⁰

Indeed, Peloton's Second Count – for Invoice Violations under OSRA, simply states, that “Flexport issued invoices without the required information....in violation of 46 U.S.C. § 411104(a)(15)”. (Complaint at ¶ 42). Yet, Peloton fails to identify what information was purportedly missing. This failure is critical.

Likewise, Peloton's Third Count – for Unreasonable Charges under OSRA, merely alleges that “Flexport's practices and actions in connection with assessment of D&D charges in and after the effective date of OSRA would also violate 46 U.S.C. § 411104(a)(14)”. (Complaint at ¶ 46). There is no identification as what these practices are, or to which post-OSRA invoices they applied.

Peloton's Complaint is riddled with vague, conclusory allegations with zero factual support, that fails to coherently allege any violation of the Shipping Act. Peloton even alleges that Flexport failed to have or employ an adequate dispute resolution policy or practice with respect to D&D charges. (Complaint at ¶ 38(g)). Yet, this requirement does not apply to NVOCCs, which is reflective of Peloton's nonsensical allegations.

⁹ See, e.g., FMC's Interim Guidelines on Charge Complaints, which say OSRA22 does not apply to charges “invoiced or assessed prior to the effective date of OSRA on June 16, 2022.” (December 1, 2022) (available at <https://www.fmc.gov/osra-2022-implementation/charge-complaint-interim-procedure/>).

¹⁰ Indeed, Flexport notes that 95% percent of the invoices it issued to Peloton were issued prior to OSRA 2022 and many of these are time-barred.

B. Peloton Fails to State a Claim Because it Does not Plausibly Allege a “Practice” by Flexport Within the Meaning of 46 U.S.C. § 41102(c)

By its terms, 46 U.S.C. § 41102(c) applies only to “regulations and practices.” Moreover, as stated in the Interpretative Rule, codified at 46 C.F.R. § 545.4, the term “practice” means only acts or omissions that occur on a “normal, customary, and continuous basis.”

The Interpretative Rule, including the preambles to the Proposed and Final Rules and the precedents cited in those preambles, as well as decisions rendered before and after promulgation of the Interpretative Rule, make clear that the requirement of a “normal, customary, and continuous basis” is not to be taken lightly or to be given a cursory analysis. As the Commission explained in the preamble to the Final Rule:

Congress chose the word “practice” and the phrase, “establish, observe, and enforce just and reasonable regulations and practices,” to describe actions or omissions engaged in on a ***normal, customary, and continuous basis***. . . . To find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the ***normal, customary, often repeated, systematic, uniform, habitual, and continuous manner*** in which the regulated common carrier was conducting business. 83 Fed. Reg. 64478 (Dec. 17, 2018) (footnotes omitted, emphasis added).

The requirement that the alleged acts and omissions be proven to occur on a “normal, customary, often repeated, systemic, uniform, and habitual, and continuous” basis reflects the two-fold purposes of the Interpretative Rule. The Interpretative Rule is intended specifically to restrict the category of claims that could be brought before the Commission, leaving other claims to be resolved in other forums, applying non-Shipping Act law:

The Commission is aware that the interpretive rule may prevent some claims from being brought under the Shipping Act. Matters that may previously have been brought under § 41102(c) however, can still find resolution in other provisions or regulations of the Shipping Act or be adjudicated as matters of contract law, agency law, or admiralty law. FMC Docket No. 18-06, *Interpretive Rule, Shipping Act* (Final Rule) (December 12, 2018), Preamble to the Final Rule at 6; *see id.* at 20 (“[t]hough the Commission is aware that the interpretive rule may redirect some claims in certain fact situations from being brought under the Shipping Act, the

Commission believes that existing alternative avenues of redress are fully sufficient to address those cases”).
83 Fed. Reg. 64478

The Commission’s deliberate decision to shift certain types of claims from the FMC to other forums was not made simply to lighten the Commission’s workload. Rather, it was intended to carry out congressional intent, as expressed in the Shipping Act, and to improve the ability of the Commission to act in its own jurisdictional sphere, by focusing on cases where the actions of regulated entities affected the shipping public as a whole. As the Commission explained:

This interpretation restores § 41102(c) to its proper function and purpose under the Shipping Act of 1984 and will return the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public – all as intended by Congress in its enactment of the 1916 Act and the 1984 Act.
83 Fed. Reg. 45367 (Sep. 7, 2018).

The Commission identified the original understanding of the Shipping Act by reference to FMC decisions such as *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 178, 201 (FMC 1964); *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979); *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321 (ALJ 2001); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935); *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416 (ALJ 1962); and *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273 (SO 1990). The Commission also cited court cases such as *Whitam v. Chicago, R.I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946); *Wells Lamont Corp. v. Bowles*, 149 F.2d 364 (Em. Ct. App. 1945); *J.C. Francesconi v. Baltimore & O. R. Co.*, 274 F. 687 (S.D.N.Y. 1921); and *McClure v. Blackshere*, 231 F. Supp. 678, 682 (D. Md. 1964).

In *European Trade Specialists*, the Commission held that the complainant had not made out a violation, because it did not establish that the alleged wrongful act was a practice, regularly followed with respect to shippers in general (not just complainant). In this respect, the Commission

stated that, unless the respondent's "normal practice was not to notify the shipper, such adverse action cannot be found to violate the section *as a matter of law*." 19 S.R.R. at 63 (underlining in original, emphasis added). In *Whitam*, the court emphasized, consistent with *European Trade Specialists*, that a "practice" typically must involve not only repetition, but also application to *multiple customers*. As the court explained: "The word 'a practice' as used . . . anywhere properly, implies *systematic* doing of the acts complained of, and usually as applied to carriers and shippers generally." 66 F. Supp. at 1017 (emphasis added). Of particular note, the court concluded that "[s]pecific acts of violation of this rule do[] not constitute a 'practice.'... As far as plaintiff's pleadings go, no other shipper was mentioned or involved...." *Id.*; see also, e.g., *McClure*, 231 F. Supp at 682 ("Practice ordinarily implies uniformity and continuity,... and uniformity and universality, ... must characterize the actions on which a practice is predicated."); *Francesconi*, 274 F. at 690-91 (concluding that defendant's actions were "not uniform," which precluded the court from finding a practice; stating that "[o]ccasional and *even common* assertions of right do not make such a practice. Its essence is uniformity.") (emphasis added).

The Court in *Wells Lamont* explained:

According to dictionaries, both lay and legal, a practice is a custom or usage, a customary usage, something *habitually and uniformly* performed. It implies uniformity and continuity. To establish is to make stable or firm; to fix in in permanence and regularity; ... to settle firmly or to fix unalterably...."
149 F.2d at 366 (emphasis added).

Furthermore, in *A.N. Deringer, Inc.*, the Settlement Officer held that the FMC lacked jurisdiction over a claim, even if the alleged activity was unreasonable:

[T]he sustaining of an alleged violation of Section 10(d)(1) **requires more than the showing of unjust or unreasonable activity. It requires that the complainant prove failure: "to establish, observe, and enforce just and reasonable regulations and practices...."** . . . Nothing in the record casts

light upon [Respondent's] regulations or practices, and this constitutes a fatal flaw in [Complainant's] case.
25 S.R.R. at 1276 (SO 1990) (emphasis added)

Other than the formulaic recitation that “Flexport’s charges ...constitute[] unjust and unreasonable practices,” and the equally formulaic assertion that this is shown by Flexport’s purported actions, the Complaint does not contain an allegations to show that these actions were a “practice” applied to multiple shippers and not just Peloton. It thus plainly fails to adequately allege that Flexport’s challenged actions reflect “the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner” in which Flexport was conducting business.

Although the Complaint alleges a large number of shipments and even larger number of charges Peloton does not link any of those shipments/charges to any specific “practice” within the meaning of the Rule. In any event, as demonstrated above (including by citation to *European Trade Specialists* and *Whitam*) the Commission and court cases require much more – i.e., that the alleged “practice” applied to customers generally, not just a particular customer. Because Peloton has failed to identify any alleged practice on the part of Flexport that is “something habitually performed...that implies continuity...in the usual course of conduct,”” *Crocus Investments*, 3 F.M.C. 2d at 117 (quoting *Stockton Elevators* at 201), it has failed to plausibly allege a “practice.”

V. CONCLUSION

Based on the foregoing, Flexport respectfully requests that the Commission dismiss the Complaint.

Dated: June 17, 2024

Respectfully submitted,

SPECTOR RUBIN, P.A.

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on June 17, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Andrew Spector
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